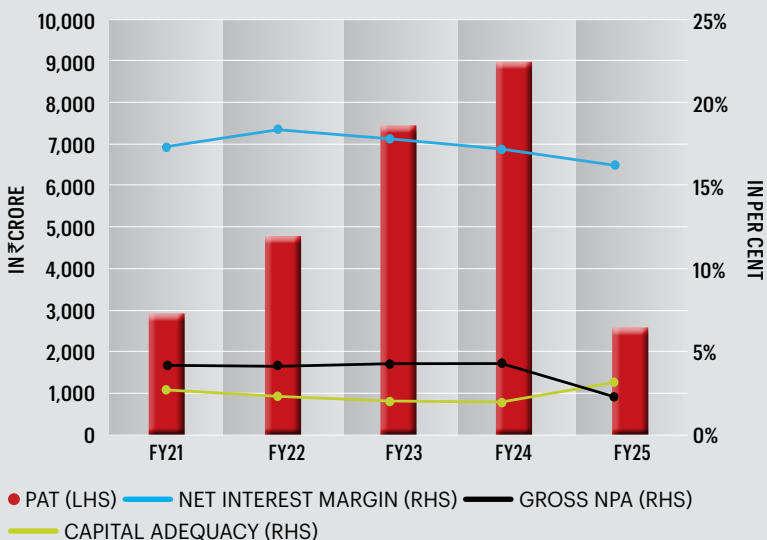


BIG DIP

IndusInd Bank's profit after tax and net interest margin dipped in FY25



SOURCE ANNUAL REPORTS; PRESENTATIONS

conduct a stress test of the entire lending portfolio and clean up the mess. The new CEO must undertake a comprehensive stress test of the portfolio across microfinance institutions (MFIs), MSMEs, and corporate banking—especially in real estate, construction, and gems and jewellery sectors.

“A clear and honest disclosure of stressed areas, especially within the MFI book, will help pre-empt speculation. It will also provide a comparative context with peers to position the bank as a proactive and transparent institution,” says Sriram Kalyanaraman, BFSI Advisor at Practus, a performance improvement and business transformation firm.

“There’s a strong chance the bank is hiding more trouble,

given the recent accounting errors (₹1,520–2,000 crore in derivatives) and microfinance fraud (₹172.58 crore fee income misreported),” says Datt B Jadhav, Founder & Research Analyst at Money Tree Ventures Trading Academy. Jadhav says the new CEO has a legal duty to dig deep with stress tests and thorough audits to uncover any hidden risks, such as unreported bad loans or employee misconduct. “Avoiding these steps could lead to hefty fines, insider trading claims, or further erosion of trust, threatening the bank’s stability,” he adds.

Meanwhile, the Financial Reporting Review Board (FRRB) of the Institute of Chartered Accountants of India (ICAI) is conducting a review of the bank’s

financial statements and the statutory auditor’s reports for FY24 and FY25. This is to determine whether there were any deviations from accounting standards. The NFRA is also in talks with Grant Thornton, which conducted a forensic audit of the bank, as well as with the RBI, whose banking supervision wing holds relevant information on the matter. The Grant Thornton report has not been made public.

Auditors have revealed that their investigation has uncovered serious issues involving senior officials at the bank, including former top executives. These individuals were found to have overridden key internal controls. “This indicates direct involvement of several mid-level employees,” says an analyst at a domestic brokerage.

Sunil Mehta, the bank’s Chairman, has already said the board is also in the process of taking necessary steps to assess roles and responsibilities and fixing staff accountability as per the law and the bank’s internal code of conduct. “We are approaching these aspects with utmost seriousness, without fear or favour to anyone involved in precipitation of these issues,” Mehta told analysts last month.

The management’s prolonged efforts to conceal the improper accounting practices from both the board and statutory auditors raises serious doubts about the credibility of many disclosures. “The findings indicate this was not a mere technical lapse or oversight, but a deliberate attempt to hide facts—raising concerns about the integrity of the bank’s financial reporting,” says a market participant.

According to company insiders, stress in two-wheeler and microfinance segments is